

		subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. [¶] (3) 'Fraud' means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." In support of their claim for punitive damages Plaintiffs allege Defendants refused to accept payment of rent owed pursuant to the subject residential lease from Mercy House on behalf of Plaintiffs. (Complaint, ¶ 18.) Defendants engaged in a patten of harassment and intimidation to force Plaintiffs to leave their leased home and that Defendants made false allegations of fraud and squatting about Plaintiffs to law enforcement in an improper attempt to intimidate Plaintiffs into leaving their home. (Complaint, ¶¶ 19-20.) Plaintiffs also contend defendant Joseph DiSegna initiated an unlawful detainer to evict Plaintiffs, and their minor son claiming failure to pay rent, even though Defendants refused to accept rent payment tendered on behalf of Plaintiffs Victor Inda and Miriam Azizi. (Complaint, ¶ 21.) These allegations are conclusory and insufficient to allege malice, fraud, or oppression. Therefore, the Motion to Strike punitive damages is GRANTED with 20-days leave to amend. Moving Defendants to give notice.
10	25-01472504 <i>Maleki vs. Schumacher & Maleki, LLC</i>	Motion for Summary Judgment and/or Adjudication Plaintiff/Cross-Defendant Majid Maleki's Motion for Summary Adjudication is GRANTED as to the Complaint and DENIED as to the Cross-Complaint. Plaintiff/Cross-Defendant moves for summary adjudication of (1) the first cause of action in the Complaint for dissolution, (2) the first cause of action in the Cross-Complaint for breach of fiduciary duties, (3) the second cause of action in the Cross-Complaint for breach of contract, and (4) the third cause of action in the Cross-Complaint for embezzlement. Plaintiff's request for judicial notice (ROA 93) is granted as to filings in this matter and filings with the Secretary of State related to the subject LLC. Defendant's request for judicial notice (ROA 157) is granted to the extent it seeks judicial notice of contents of the register of actions in this case and denied to the extent it seeks judicial notice of the truth of conclusions to be drawn from such filings or lack thereof. The Court exercises its discretion to consider Defendant's separate statement in opposition because the hearing date was continued and Plaintiff had adequate time to respond.

Legal Standard:

Code of Civil Procedure section 437c(f)(1) states,

“(f)(1) A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.”

Section 437c(p) provides,

“(p) For purposes of motions for summary judgment and summary adjudication:

- (1) A plaintiff or cross-complainant has met that party's burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.
- (2) A defendant or cross-defendant has met that party's burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.

Factual Summary:

The parties formed Schumacher & Maleki, LLC (“the LLC”), which provides interior design services, on 8/5/16 with Plaintiff Maleki and Defendant Schumacher each holding a 50% membership interest. (Plaintiff’s Undisputed Material Facts [UMFs] 1-2.) The 8/5/16

Operating Agreement provides the LLC is member-managed and both parties are managers of the LLC. (UMF 3.) A majority of members' consent is required to dissolve the LLC. (UMF 5.) Section 9.1 of the Operating Agreement provides, "The Company shall be dissolved on the first to occur of the following events: (a) The Vote of the Majority of Members (b) The sale or other disposition of substantially all of the Company's assets. (c) Entry of a decree of judicial dissolution under Corporations Code §17707.03." (UMF 6.)

The parties engaged in discussions about dissolving the LLC beginning in approximately November 2023 but were unable to reach agreement on dissolution. (UMFs 7-10.) Defendant Schumacher incorporated her own interior design company on 1/9/24 and stated her last day of work at the LLC would be 5/2/24. (UMFs 11-12.) On 8/28/24, Defendant Schumacher emailed her resignation as co-manager of the LLC. (UMF 22.) The parties discussed buyout options for Schumacher's 50% interest in the LLC but were unable to reach agreement. (UMFs 13-19, 24.) Schumacher therefore continues to hold a 50% membership interest in the LLC but she now performs design work for her own LLC. (UMF 25.)

Plaintiff asserts dissolution is required because the parties are "deadlocked and subject to internal dissention" regarding management and operation of the LLC. (UMF 27.)

Defendant asserts there is no management deadlock/dissension because she already resigned as manager and in reality, Maleki is solely managing the LLC. (See Defendant's Response to UMF 27.)

Status of Discovery:

First, Defendant contends the motion should be continued because her motion to compel responses to form interrogatories, filed on 8/12/25, has been continued and is currently set for IDC on 10/21/25. Defendant fails to explain how the subject discovery is likely to demonstrate triable issues regarding the present motion. Moreover, the delay has largely been the result of Defendant's counsel's failure to adequately meet and confer. Therefore, the Court will rule on the merits.

First Cause of Action in Complaint - Dissolution:

First, Defendant has not shown adjudication of this cause of action is improper because the LLC has not been named and served as a separate party. Both members of the LLC are already parties and are able to adjudicate all disputes between themselves without adding the LLC as a separate party.

Corporations Code section 17707.01 states, "A limited liability company is dissolved, and its activities shall be wound up, upon the happening of the first to occur of the following: (a) On the happening of an event set forth in a written operating agreement or the articles of organization."

Corporations Code section 17707.03 further explains:

“(a) Pursuant to an action filed by any manager or by any member or members of a limited liability company, a court of competent jurisdiction may decree the dissolution of a limited liability company whenever any of the events specified in subdivision (b) occurs.

(b)(1) It is not reasonably practicable to carry on the business in conformity with the articles of organization or operating agreement.

(2) Dissolution is reasonably necessary for the protection of the rights or interests of the complaining members.

(3) The business of the limited liability company has been abandoned.

(4) The management of the limited liability company is deadlocked or subject to internal dissension.

(5) Those in control of the limited liability company have been guilty of, or have knowingly countenanced, persistent and pervasive fraud, mismanagement, or abuse of authority.”

Here, Plaintiff has demonstrated that dissolution is necessary under Corporations Code section 17707.03(b)(1), (2), and (4). Although the parties are 50% manager members, Defendant has stated she no longer wants to participate as a manager. The LLC’s Operating Agreement provides the LLC shall be operated by its managers. (Articles V, VII.) Article VIII provides for member dissociation and transfer of interest, but the parties have been unable to reach agreement regarding transfer of Defendant’s interests in the LLC pursuant to Article VIII or dissolution/winding up under Article IX. Plaintiff cannot unilaterally make such decisions as a 50% member.

Defendant’s argument that there is no deadlock because she resigned her management role lacks merit. Without Defendant’s participation or agreement, the LLC lacks a majority allowing it to continue to operate, distribute its assets or profits, or wrap up its operations with the consent of a majority of members because Defendant holds a 50% interest.

Therefore, the motion is granted as to this issue. The parties shall follow the procedures set out in the Operating Agreement and applicable law to allocate the LLC’s assets. If necessary, the parties may seek Court relief in a separate noticed motion regarding the distribution of assets pursuant to applicable law.

First Cause of Action in Cross-Complaint – Breach of Fiduciary Duties:

Cross-Complainant/Defendant alleges Plaintiff/Cross-Defendant has breached fiduciary duties in relation to formation of his own company, use of LLC’s assets, and failure to distribute the LLC’s earnings to Defendant.

Plaintiff asserts he has sole discretion as the remaining manager as to whether to make distributions and has exercised business judgment in deciding not to make further distributions. (UMFs 60, 61.) However, he also asserts it would be improper to allocate distributions prior to dissolution due to the LLC’s deadlock.

Defendant disputes these facts, submitting evidence that the cash for her portion of the distribution is available in the company bank account and is being withheld strategically to pressure Defendant to agree to his dissolution/buyout terms. Defendant asserts that payout of 50% of the annual available cash is mandatory under the Operating Agreement. (§ 4.13.)

Plaintiff asserts he is protected by the business judgment rule and the doctrine of unclean hands.

“The way in which the parties moving for, and opposing, summary judgment may each carry their burden of persuasion and/or production depends on which party would bear what burden of proof at trial. The business judgment rule creates a presumption that the Board acted properly and applies to both directors and officers. The presumption is rebuttable and may be overcome by evidence supporting an exception to the rule. Although courts have stated that a plaintiff has a stringent or heavy task in defeating the business judgment rule, we do not regard such statements as imposing a heightened burden of proof but rather as a recognition of the rule's practical success.” (*Hill v. State Farm Mutual Automobile Ins. Co.* (2008) 166 Cal.App.4th 1438, 1469 [cleaned up].)

“The business judgment rule is a defense to an alleged breach of the duty of care.” (*Id.* at 1473.) “Where there is no conscious decision by directors to act or refrain from acting, the business judgment rule has no application. The absence of board action, therefore, makes it impossible to perform the essential inquiry whether the directors have acted in conformity with the business judgment rule in approving the challenged transaction. The rule does not apply when the directors did not actually make a decision.” (*Id.* at 1476, cleaned up.)

Whether the doctrine of unclean hands applies is generally a question of fact. (*Padideh v. Moradi* (2023) 89 Cal.App.5th 418, 436.)

Defendant/Cross-Complainant has demonstrated a dispute of fact as to whether Plaintiff/Cross-Defendant has breached fiduciary duties related to making distributions under the Operating Agreement and whether doing so constitutes a valid exercise of business judgment, especially in the absence of a majority of LLC members participating in decision-making. There is also a question of fact as to whether Defendant's alleged unclean hands preclude granting relief.

Second Cause of Action in Cross-Complaint – Breach of Written Contract:

This claim is similarly premised on Plaintiff's alleged failure to make required distributions under the LLC's Operating Agreement. For the same reasons stated above, there is a dispute of fact regarding the parties' dispute about payout of distributions and whether failure to pay a distribution violated the Operating Agreement.

Third Cause of Action in Cross-Complaint – Embezzlement:

		This claim also arises from the claim Plaintiff improperly withheld distributions of \$51,882 for 2024. “[E]mbezzlement, a form of larceny, has the same theft elements. The offense is committed by every person who (1) takes possession (2) of personal property (3) owned or possessed by another, (4) by means of trespass (5) with the intent to steal the property, and (6) carries the property away. (People v. Davis (1998) 19 Cal.4th 301, 305, 79 Cal.Rptr.2d 295, 965 P.2d 1165 (Davis).) The general rule, as stated by the Davis court, is that the intent to steal required for larceny is an intent to deprive the owner permanently of possession of the property.” (People v. Casas (2010) 184 Cal.App.4th 1242, 1246.) Again, Plaintiff maintains he has sole discretion to make or withhold distributions as the remaining manager under the Operating Agreement. He states there has been no distribution to either member because the LLCs is deadlocked and distribution is impractical until the LLC is dissolved. Therefore, Plaintiff asserts he has a “complete affirmative defense (Good Faith).” (Notice, p. 5.) Plaintiff further asserts the disputed funds are being held in trust pending the resolution of this litigation. (UMF 133, Reply. at p. 9.) However, there is a triable issue as to whether Plaintiff has wrongfully taken possession of funds to which Defendant is entitled, with the intent to permanently deprive Defendant of such funds. Although Plaintiff asserts plausible grounds for withholding distributions, Defendant asserts distributions are mandatory and the funds are being withheld for strategic reasons without legal authority. (See Defendant’s Responses to UMFs 184-211.) Therefore, the motion is denied as to this claim.
11	25-01510887 Ortiz-Garcia vs. Envision Nwk Toy Auto LLC	Motion to Compel Arbitration Defendants Envision Nwk Toy Auto, LLC and Envision Motor Holdings, LLC’s Motion to Compel Arbitration is GRANTED. This action is ORDERED stayed pending the resolution of arbitration. (Code Civ. Proc., § 1281.4.) The court resolves the parties’ dispute regarding the existence of the arbitration agreement using a three-step burden-shifting process. (<i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1056.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature. At this step, a movant need not follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule 3.1330. If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating